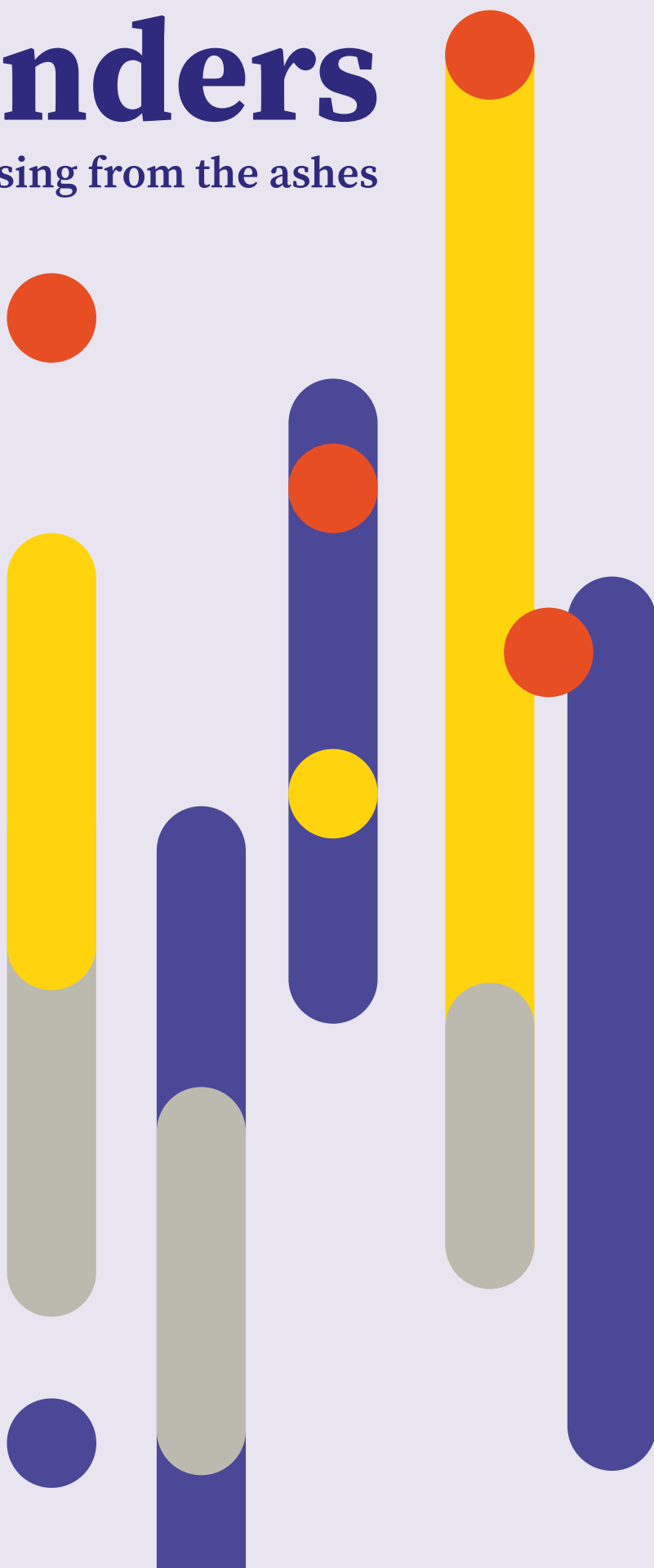


Phoenix 2024 founders

Rising from the ashes

CHARLES
STANLEY▲

 Beauhurst





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Foreword



Andrew Meigh
Managing Director of Financial Planning at Charles Stanley

Entrepreneurs and business founders are vital in driving innovation and growth in the UK. This report looks into phoenix and serial founders and researches the challenges that both groups face. Historically, the UK has been successful at promoting entrepreneurship, and this continues today, as seen by the rise in the number of high-growth businesses. It remains fast and inexpensive to register a business in the UK, with most online applications being processed within 24 hours and costing as little as £12. Alongside this, the UK has a large supply of skilled talent and offers plenty of government support for startups, including grants and loan schemes. The importance of entrepreneurs cannot be underestimated; they are responsible for creating small and medium enterprises (SMEs), which comprise 98% of the UK's private sector firms. These businesses create employment opportunities, boost productivity through competition and foster innovation throughout the UK's economy.

“Historically, the UK has been successful at promoting entrepreneurship, and this continues today, as seen by the rise in the number of high-growth businesses.

Some challenges remain for entrepreneurs in the UK. As this report shows, an entrepreneur's path is rarely linear. Success often only comes after failure. Finding a successful and scalable business proposition is just the first step on a difficult path with challenges posed by regulation, competition, and access to capital. Furthermore, geopolitics and other sector-specific pressures can all influence the success of entrepreneurs' ventures. However, silver linings can emerge when a business fails. According to our research, almost two-thirds of business owners claim that their current company is their most successful despite their previous experience of failure. Hopefully, this finding proves to entrepreneurs that your first business does not have to be the one that makes you successful, but it can provide you with experience that may be critical to the success of your future ventures.

The current environment in the UK is turbulent; this may discourage some, but with changes in the economy also come opportunities. This report proves that failure does not always need to prevent entrepreneurs from starting their business journey — they should, therefore, feel inclined to seek out these opportunities. We hope this research sheds light on some of the complications and challenges starting a business entails and that the examples of some of the incredible entrepreneurs we showcase inspire some to start and encourage others to keep going.

Introduction: why phoenix founders?

Being an entrepreneur is challenging, the path is fraught with difficulties and setbacks. This report aims to dispel the myth that the success entrepreneurs achieve is the result of a linear, straightforward journey. The story of a phoenix founder is particularly compelling. These are founders who have experienced a failure in one business but have risen from the ashes to start a new venture that is now succeeding. The journey of these entrepreneurs highlights that failure is not the end, but can act as a stepping stone for greater success.

Failing and starting again is a daunting prospect. It requires not just the courage to face potential failure again, but also the wisdom to learn from past mistakes. Yet, for these business owners, it is often the process of failing and rising again that leads to success.

It's important to acknowledge that there is a range of pathways entrepreneurs can follow, demonstrating that there is no single

formula for success. This includes a group of entrepreneurs called serial founders: those who have successfully exited a business and are currently running a different successful venture. Parallel founders are those who currently run two successful businesses at the same time.

“**These are founders who have experienced a failure in one business but have risen from the ashes to start a new venture that is now succeeding.**”

Phoenix founders exemplify the essence of entrepreneurship — resilience, innovation and the relentless pursuit of success despite previous setbacks. Their stories are not just inspiring but they provide an insight into the dynamics of business creation, failure, and rebirth.

What and who are phoenix founders?

A phoenix founder is a founder who is finding success with a current venture after a previous business has failed: their new business has risen (directly or metaphorically) from the ashes of their old one.

The experiences had during the running of a failed business lead to lessons learned, which can ultimately help inform decision-making in subsequent ventures. These lessons can also help make phoenix founders adaptable, with most founders starting businesses in different sectors from their previous companies. This finding points to a key factor in the success of entrepreneurs. Entrepreneurs, and phoenix founders in particular, look for new opportunities rather than fixating on attempting to correct past mistakes, even if this means operating in unfamiliar industries.

This report also looks at a different group of entrepreneurs, called “serial founders”, of which there are 428 in the UK. These entrepreneurs have founded multiple companies and successfully exited a business. Phoenix and serial founders are two distinct groups, and there is no overlap between the two cohorts within this analysis.

Serial founders may experience differing motivations from phoenix founders. This could be the passion they have found in the running of their previous business or the resources they have gained that now allow them to pursue a new project that would not have previously been possible. The presence of serial founders in the UK ecosystem is a positive sign, as entrepreneurs are responsible for recycling innovation and creating the smaller enterprises that make up the majority of businesses operating in the UK.

This rarefied group represents some of the UK’s most dedicated and resilient founders. The remainder of the founders Beauhurst tracks have only founded one business.

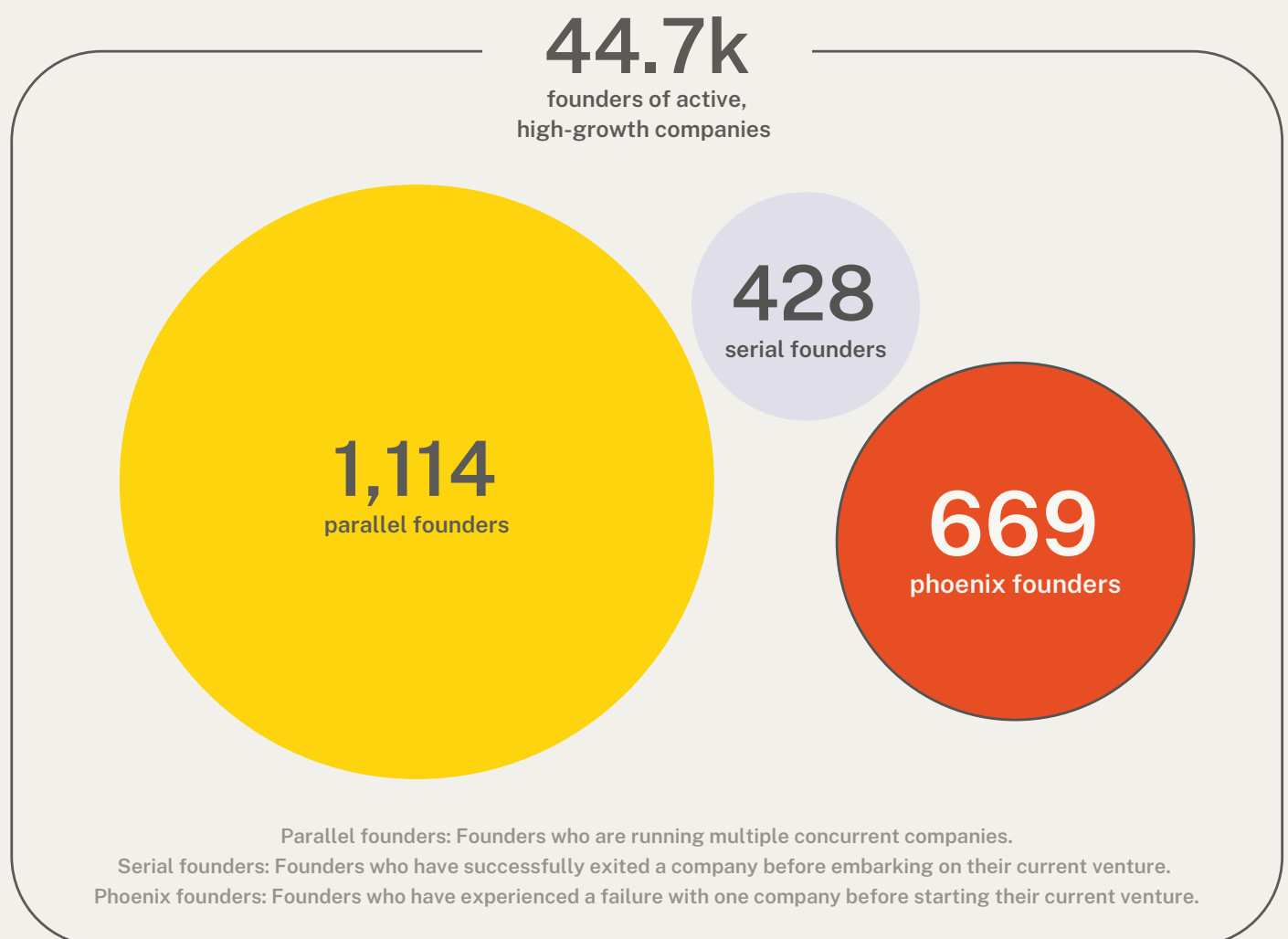
“**The experiences had during the running of a failed business lead to lessons learned, which can ultimately help inform decision-making in subsequent ventures.**”

In scope founders

There are 44,700 active founders of businesses in the UK's high-growth ecosystem, of which 669 are phoenix founders. Phoenix founders are distinct in having experienced the failure of one business before their current venture.

There are more phoenix founders in the UK than serial founders. This finding may be because it is very difficult to exit a business, as explored in our previous report: Exits in the UK: IPOs and Acquisitions, and it is far more likely that a company will fail. It is also true that many entrepreneurs will not have plans to exit their businesses, are not prepared to exit or have missed the chance to exit at the right time.

Total founders of active high-growth UK companies (2023)

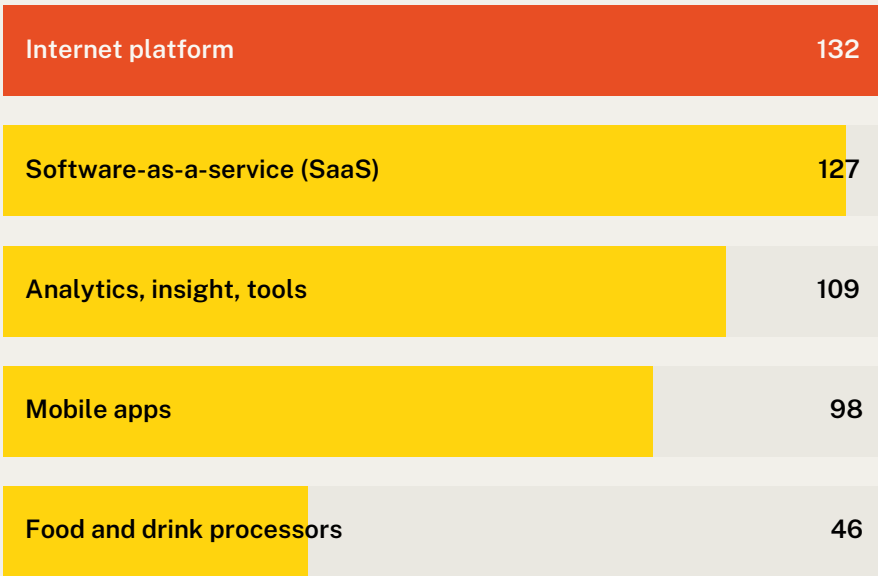


Phoenix founder demography

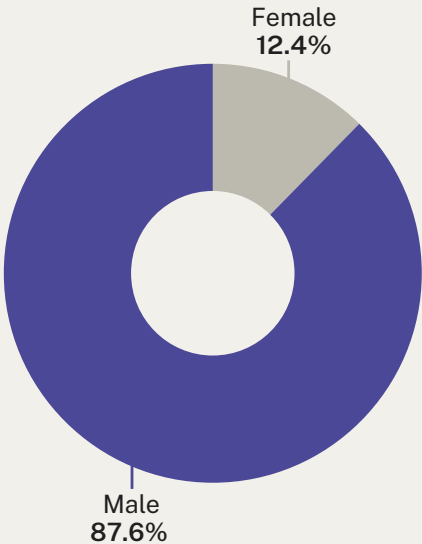
Key figures (2013-H1 2023)



Phoenix founder companies: top five sectors



Gender split among phoenix founders



Female founders are better represented among the phoenix founder population than serial founders, accounting for 12.4% of the total population. While the founder population is still more male-dominated than the wider UK high-growth ecosystem, where 80.4% of founders are men, there is a higher proportion of female phoenix founders than female serial founders.

The ranking chart outlines the top sectors for the phoenix founders' currently active companies. Internet platform is the most common sector for phoenix founder businesses,

with 132 companies. Most companies remain in the same broader software space, similar to serial founders, but with the introduction of food and drink processors as the fifth most common sector. Phoenix founders have, on average, founded fewer companies than serial founders, at 2.11 and 2.27 companies per founder respectively. Phoenix founders may be at an earlier stage in their entrepreneurial journey or do not yet have the resources to have founded multiple companies since they have yet to have a successful exit.

Serial founder demography

With a median age of 47, serial founders tend to be older than phoenix founders, who have a median age of 45. Among serial founders, there is an even greater gender inequality compared with companies in the UK’s high-growth ecosystem, with 94.6% of founders being male.

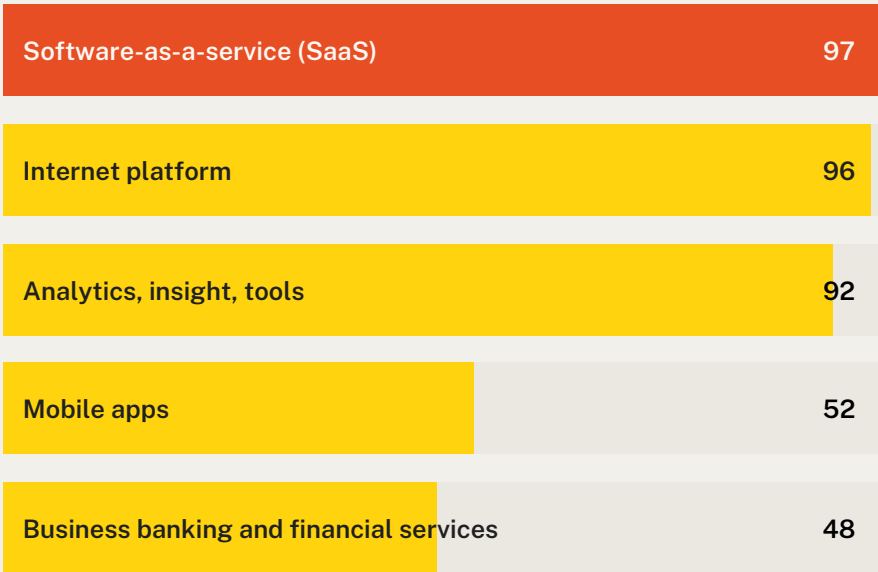
The 428 founders that have been captured in this report have been responsible for creating over 900 companies. The sector ranking below shows the top sectors in which the live companies of serial founders operate. The SaaS sector is the

most common for these businesses, with 9.95% of companies having some operations in this space. Overall, there is a clear concentration in the broader software industry, which includes the Internet platform and mobile app sectors. Founders often opt to launch companies in the technology sector, attracted by the opportunities presented by this rapidly expanding industry. Companies in the broader high-growth ecosystem are concentrated more in the business and professional services sectors rather than in technology and software.

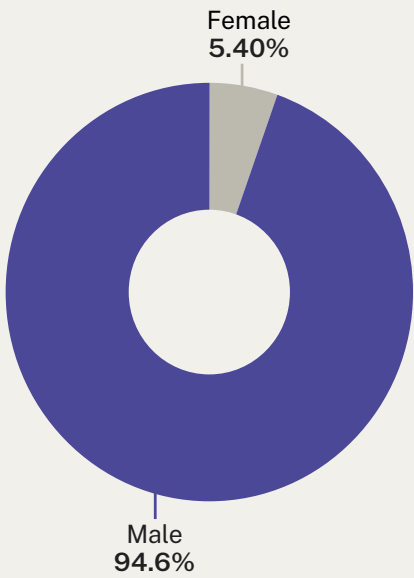
Key figures (2013-H1 2023)



Serial founder companies: top five sectors



Gender split among serial founders





Phoenix founder: George Lineker

George Lineker is the co-founder of London-based YourBusinessNumber. Lineker, alongside business partner Sebastian Lewis, recognised the potential to capitalise on WhatsApp Business and founded YourBusinessNumber in 2021. WhatsApp Business allows business operators to separate their business and personal accounts. With millions already using WhatsApp, communicating with customers can be sped up through using this pre-existing channel. YourBusinessNumber looks to take advantage of this by providing businesses with additional numbers to be able to use this service. The success of YourBusinessNumber comes after Lineker's previous business, Flipper, was dissolved, making him one of the 669 phoenix founders in this report.

“We have recently acquired over 10k customers and we're very motivated on getting the next 10k and beyond that; reaching these targets is what motivates us.”

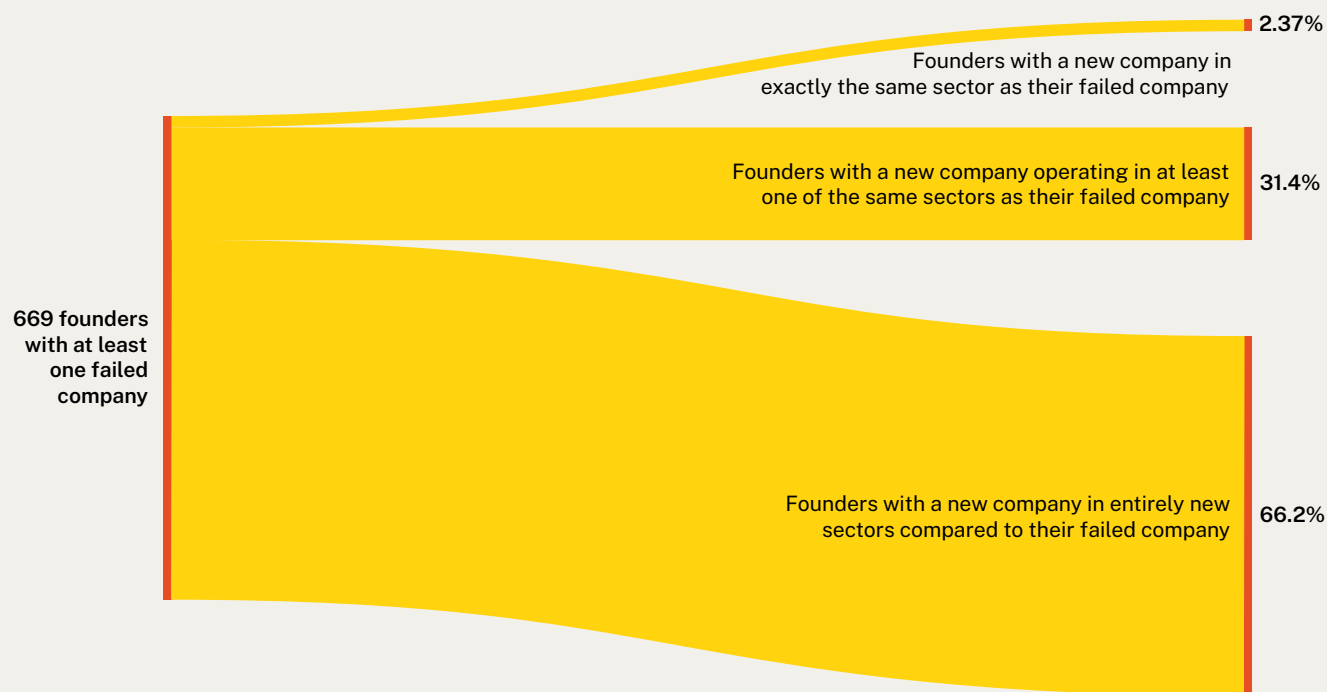
Lineker leveraged existing resources for YourBusinessNumber, stating, “We had access to mobile numbers through my business partner, so we decided to build a service for WhatsApp Business that was fast, affordable, and simple.” While anticipating UK growth, Lineker also aims to expand to other countries with high WhatsApp usage, like Germany, Brazil, and India. YourBusinessNumber already serves US businesses, so the international expansion has a track record.

Lineker's previous venture, Flipper, founded in 2014, operated in a similar industry to YourBusinessNumber, providing existing phones with new UK mobile numbers. Flipper was dissolved in 2021 but has been a source of learning for Lineker. When we asked Lineker about how this has influenced his current venture, he emphasised the importance of having “the right team, whether in-house or outsourced.” He also advises entrepreneurs to “keep their business simple, especially in the early stages” by focusing on offering a product that is “easy to use and offers people a helpful solution.” YourBusinessNumber was originally self-funded but has received £400k in equity fundraising in 2022, and a total of almost £800k in funding since inception. Part of the business's investment came from footballer Gary Lineker, George Lineker's father, despite George's original resistance to his father's investment due to concerns about the backlash he might receive as a result. The investment Lineker has received will be used to achieve his goal of global expansion and continue the company's impressive growth.

Lineker encourages aspiring entrepreneurs, highlighting the current ease and affordability of starting a business “it's cheap to register a business and build a basic website” states Lineker, adding that technology allows all this to be done from home. He stresses the importance of a strong team ethos as well as setting ambitious targets. YourBusinessNumber has already seen high levels of growth, but Lineker still has his sights set on more: “We have recently acquired over 10k customers and we're very motivated on getting the next 10k and beyond that, reaching these targets is what motivates us.”

Phoenix founders company sectors

Phoenix founders company sectors, current vs previous business



When starting up a new business following the failure of their previous one, phoenix founders are much more likely to operate in a new sector. Our data shows that two-thirds of phoenix founders' new businesses are in a new sector compared to their previous failed businesses. Less than 2.5% of phoenix founders choose to start their new business in the same sector as their last one. This behaviour may be due to a negative experience in that sector or because founders realised there was insufficient opportunity or they did not have the knowledge of the sector to operate successfully.

One founder operating in a new sector is Andrew Jennings. His previously failed business, BerryWhite, manufactured a range of organic food and drinks. He has subsequently co-founded Manchester-based Frost, a financial services company that operates a digital banking system through a mobile application. Charlotte Rosier was the co-founder of Cuckooz, which provided

high-end serviced apartments for short to medium-term rents, as well as tourist-focused services. Since the closure of Cuckooz, Rosier has founded Babbu, a London-based firm that has developed a digital education platform for parents with young children.

Some entrepreneurs maintain a partial connection to their original sector while exploring new avenues. This is seen by the 31.4% of founders whose new company operates in at least one of the same sectors as their previously failed one. This approach allows them to stay rooted in their core industry but with an evolved business model or focus, addressing different challenges or capitalising on technological advancements. This strategic shift enables them to stand out and potentially succeed in a competitive landscape, demonstrating adaptability and resilience in the face of past business setbacks.

Sector ranking

Top sectors for previous company

Mobile apps	132
Internet platform	110
Software-as-a-service (SaaS)	75
Analytics, insight, tools	50
Food and drink processors	39
E-commerce	39
Marketing services	31
Social network	30
Business banking and financial services	26
Educational services	24

Top sectors for live companies

Internet platform	132
Software-as-a-service (SaaS)	127
Analytics, insight, tools	109
Mobile apps	98
Food and drink processors	46
Educational services	39
Marketing services	34
Business banking and financial services	31
Advertising and branding services	28
E-commerce	27

The charts above show the top sectors in which phoenix founders’ companies operate. Previously, these founders predominantly operated within the mobile apps sector, but this has since become a less popular industry. This shift may be due to the increasing market saturation or the difficulty in generating revenue since most apps are free. Internet platforms and Software-as-a-Service (SaaS) remain popular sectors for active phoenix founders’ businesses,

a testament to the continued growth within the broader software industry. The reduction in the number of companies operating in the mobile app and social media space aligns with broader industry trends. More founders may be venturing into the SaaS and Internet platform sectors because of the faster development cycles seen in these industries. This may attract these types of entrepreneurs as they can capitalise on these fast-moving sectors.



Phoenix founder: Dr Jelena Aleksic

Dr Jelena Aleksic is co-founder and Chief Business Officer (CBO) of PharmEnable. The Cambridge-based company uses existing collections of medical compounds and its testing programmes to discover new chemical bases that can be turned into new medicines. Aleksic co-founded the company in 2019, following the failure of her earlier business, GeneAdviser, which closed in 2018. Aleksic's pivot to PharmEnable exemplifies her experience as a phoenix founder and shows how an entrepreneurial journey is always challenging.

Aleksic, reflecting on the transition from GeneAdviser, emphasises the significance of adaptability in the face of technological shifts, particularly in genomics and healthcare. "It was initially a success, working with 15 different countries [...] But advances in DNA sequencing meant the process became cheaper, which undercut our business model. The work wasn't wasted, though. We told the NHS all about the system and they saw its potential, so they took it on. I'm proud to say they still use it."¹

Initially self-funded, PharmEnable's novel approach to drug discovery has attracted equity investment, demonstrating investor confidence in the venture's potential. It has raised £9.66m to date via four deals with investors, including o2h Ventures, the University of Cambridge Enterprise Fund, and Martlet Capital.

In her advice to emerging entrepreneurs, Aleksic stresses the importance of resilience and the readiness to navigate and respond to industry changes. She views her entrepreneurial journey as a testament to the necessity of strategic foresight and the ability to adapt business models to new scientific and technological realities. Aleksic has written a book *The Entrepreneur Survival Guide* to help guide others through the challenges of starting and growing a business. She is also a business mentor at the P4 Precision Medicine Accelerator at UCL, guiding startups through the intricacies of the precision medicine landscape.

“**Aleksic stresses the importance of resilience and the readiness to navigate and respond to industry changes.**”

Looking ahead, Aleksic's ambition for PharmEnable extends beyond business metrics to making a tangible impact on global health: "At PharmEnable, we are developing a pipeline of novel therapeutics." The company aims to translate its research into therapies for challenging diseases, demonstrating a commitment to positively influencing patient outcomes worldwide.

¹Hall, Simon. "Jelena Aleksic: The Playing with Fire, Poetry, and the Powerlifting Path to Success." Women Ahead of Their Time. Accessed [30 January 2024]. <https://womenaheadoftheirtime.org/stories/jelena-aleksic/>

Fortune favours: Failing to succeed

The Charles Stanley business owners' survey highlights resilience
(conducted August 2023)

31%

have at least one failed business

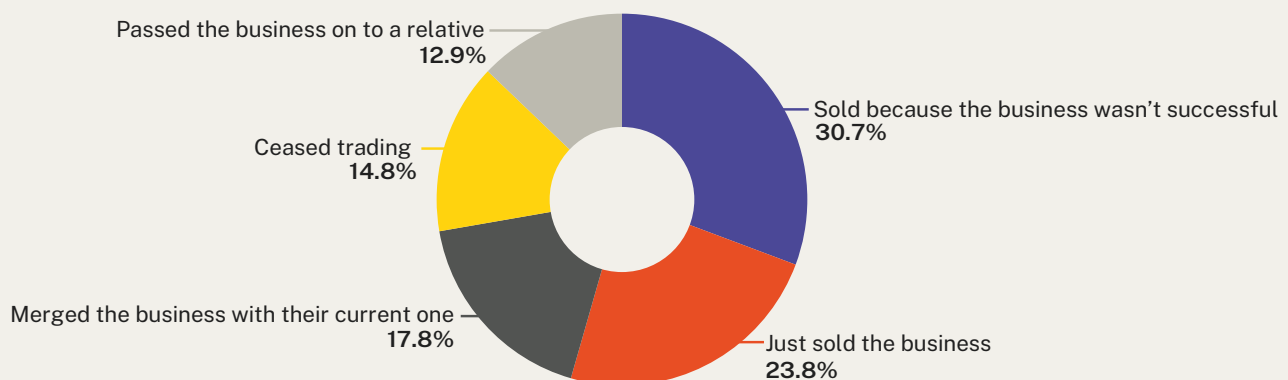
47%

say their previous experience
helped their current business

6%

have more than two business
failures

Why entrepreneurs and owners stop working on a business



Whilst all entrepreneurs' business journeys differ, failure may be a common chapter in their stories. The research, encompassing insights from over 500 UK entrepreneurs reveals 31% of business owners admit to having at least one failed business. Within this group of entrepreneurs, 15% stated they had just one failure, 10% had two and 6% had more than two. This finding demonstrates the importance of resilience; these business owners prove that the failure of a business should encourage entrepreneurs to attempt to start future ventures.

There were varying options when it came to the outcome of the failed business, with the most common outcome being that the business was sold because it wasn't successful (31%). Other outcomes included merging it with another current business (18%) or passing it onto a relative (13%).

Some positives can be drawn from the experience of a business failure when it comes to an entrepreneur's future journey. Almost half (47%) of business owners stated that the experience of a failure of a previous business has helped make their current one a success, with two-thirds of these claiming that this is the most successful business they have ever had. These findings demonstrate the value that phoenix founders add to the UK economy since they now have a successful business.

The failure of a business may cause entrepreneurs to doubt their chances of success; however, 64% of business owners admit that their business is more successful than they thought it would be. This proves that entrepreneurs should be courageous following a business failure, as their success could be just on the horizon.

Conclusion

This report delves into the narratives of two distinct groups of entrepreneurs: serial founders and phoenix founders. The journey to success for these entrepreneurs is far from straightforward, marked by a series of trials, learning curves, and eventual triumphs. Within the UK, the presence of more phoenix than serial founders may point to the challenges found in business exits or a lack of a strategy where the conclusion of the business is some form of exit. The insight and expertise gained from past ventures play a crucial role in shaping these entrepreneurs's decision-making processes as they navigate the complexities of launching new businesses.

“**Entrepreneurs may be particularly in tune with trends in the economy, which could lead them to attempt to enter new markets as they see potential future growth opportunities.**”

Phoenix founders, who are often younger than their serial counterparts, should view each setback as a foundation for future success. Despite past failures, the resilience and determination to succeed underscore the

exceptional character that phoenix founders show. Whilst experience is important for entrepreneurs, phoenix founders stand out for their propensity to explore diverse industries. This approach allows them to take advantage of untapped opportunities and quickly reposition themselves in burgeoning sectors. This speaks to the adaptive nature of phoenix founders in responding to economic trends and potential new growth areas.

The essence of entrepreneurship, as depicted by phoenix founders, is one of resilience, innovation, and an unwavering commitment to success despite prior setbacks. Their journeys from failure to success not only represent personal triumphs; they are also testaments to the supportive networks, mentors, and sources of inspiration that have guided them along the way.

In summary, this exploration of serial and phoenix founders sheds light on the multifaceted nature of entrepreneurship. It underscores the significance of persistence, learning from failures, and the critical support systems that enable entrepreneurs to navigate the journey of business creation. The remarkable ability to rebound from failure and achieve success not only reflects individual tenacity but also underscores the collective wisdom and support that shapes the entrepreneurial landscape.

An entrepreneur's path is rarely linear

With 31% of business owners having at least one failed business, Charles Stanley understand that being able to take care of the day-to-day is essential if you are to focus 100% of your energy on your enterprise.

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Methodological note

This report is focused on 669 phoenix founders, a subset of the 44.7k UK entrepreneurs who have each started at least one currently operational high-growth company. Phoenix founders are characterised by their unique journey of having endured the collapse of a prior business before launching their present venture.

Definitions

- Phoenix founders: Entrepreneurs who, after the failure of a previous company, start a new company.
- Serial founders: Entrepreneurs who have an active company following the successful exit from a previous company.
- Parallel founders: Entrepreneurs who concurrently manage multiple companies.

High-growth companies

Beauhurst identifies high-growth and ambitious companies using eight triggers that suggest a company has high growth potential. More details on Beauhurst's tracking triggers are available at beauhurst.com.

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Beauhurst is a searchable database of the UK's high-growth companies.

Our platform is trusted by thousands of business professionals to help them find, research and monitor the most ambitious businesses in the UK. We collect data on every company that meets our unique criteria of high-growth; from equity-backed startups to accelerator attendees, academic spinouts and fast-growing scaleups.

Our data is also used by journalists and researchers who seek to understand the high-growth economy, and powering studies by major organisations — including the British Business Bank, HM Treasury and Innovate UK — to help them develop effective policy.

For more information and a free demonstration, visit beauhurst.com

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